

12. C is correct. The use of leverage can increase an investor's return if the total investment return earned on the leveraged investment exceeds the borrowing cost on debt. A is incorrect because leverage amplifies both gains and losses. B is incorrect because, if half of the invested capital is borrowed, then the investor's gross (not net) return would double.
13. C is correct. The first step is to compute the investor's net return from the hedge fund investment. The net return is the fund's gross return less managerial and administrative expenses of 1.60 percent, or $8.46\% - 1.60\% = 6.86\%$. Note that trading expenses are already reflected in the gross return, so they are not subtracted. The second step is to compute the investor's leveraged return (the investor borrowed EUR2,500 (25 percent) of the purchase), calculated as: follows

$$R_L = R_p + \frac{V_B}{V_E}(R_p - r_D)$$

$$R_L = 6.86\% + \frac{EUR2,500}{EUR7,500}(6.86\% - 6\%)$$

$$R_L = 6.86\% + 0.33 \times 0.86\% = 7.15\%.$$

The final step is to compute the after-tax return:

$$\text{After-tax return} = 7.15\% (1 - 0.30) = 5.00\%.$$